voice call, which was the bedrock of profitability of telecom companies for the first fifteen years of their existence, started contributing almost nothing towards revenues from 2017. Data became the principal contributor of revenue. Yet, the ARPU, which was about Rs 1600 in 1998, came down to only Rs 72 per month in March 2018. The profitability of telecom companies tanked.

From 2009 to 2019, all private telecom companies, barring Jio, Airtel and Vodafone–Idea, abandoned their operations. Government entities BSNL and MTNL are also a pale shadow of the past, with less than 7 per cent of actual operational market share in November 2019.

The saviour of 1998—the revenue-sharing regime—is ironically proving to be the principal reason for their woes in 2020. The root of their woes lies in the fact that the telecom companies did not pay licence fee and spectrum charges on what they claimed were non-telecom revenues, whereas they had signed on to pay fees on the entire gross revenue, adjusted only for three items: interconnection charges paid to other service providers; roaming charges paid to other service providers; and service tax collected. While there are no firm estimates of these arrears, along with penalties and penal interest, an estimate placed in the Supreme Court estimated these arrears to be about Rs 1.47 lakh crore, more than the annual revenue of the telecom companies in 2019–20.

Wider Telecom Crisis

The telecom crisis in India was not limited to adjusted gross revenue (AGR)-related issues; it ran larger and deeper.

There are four major dimensions of the present crisis.

First, the business—both voice and data—might be headed towards becoming a duopoly (Jio and Airtel) with the remaining players, Vodafone–Idea and BSNL–MTNL, losing their market share continuously which may